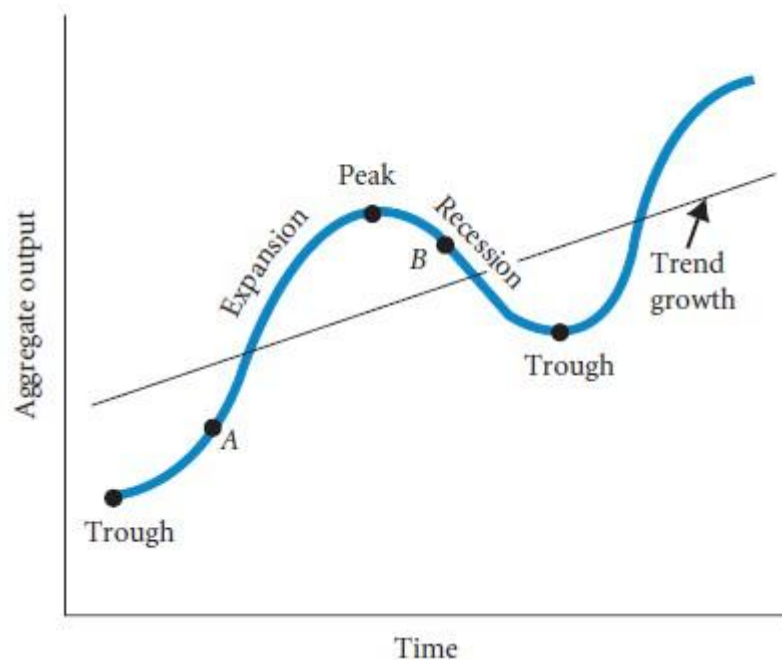


Unit 6

Macroeconomic Policy

Business Cycle

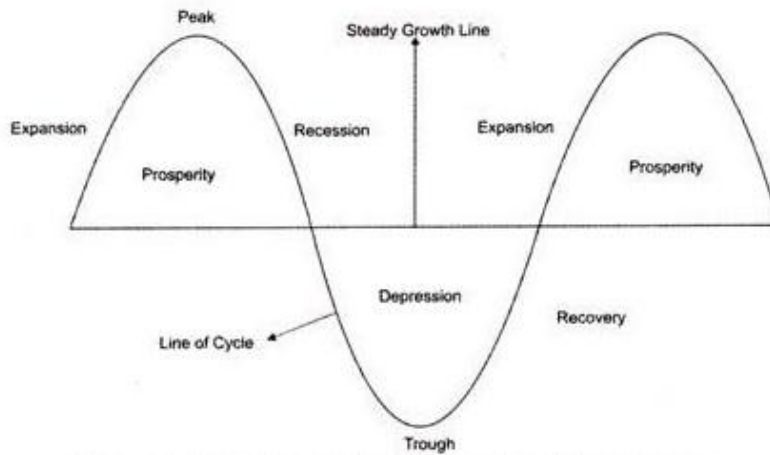
The economists have defined business cycles in different ways and have tried to capture what happens at its different phases. However, Samuelsson and Nordhaus gives a fairly good definition: “ A business cycle is a swing in total national output, income and employment, usually lasting for a period of 2 to 10 years marked by a widespread expansion or contraction in most sectors of the economy”. Briefly speaking business cycle refers to a period of high growth and prosperity in the economy followed by a period of sharp economic slowdown and depression. During the period of prosperity, there is a high growth rate of national output above the potential growth rate in per capita income, in investment and employment along with a reasonably high inflation rate. On capita income, investment and employment declines sharply. During the depressionary period, growth rate of national income turns to be negative; business activities decline sharply ; not only the rate of employment declines , there is rise in unemployment; and price level goes down resulting in deflation. A regular periodic recurrence of growth and recessions makes the business cycle. The diagram below shows an example of a business cycle



In this business cycle, the economy is expanding as it moves through point A from the trough to the peak. When the economy moves from a peak down to a trough, through point B, the economy is in recession.

The different phases of business cycles (Fully explained)

There are basically two important phases in a business cycle that are prosperity and depression. The other phases that are expansion, peak, trough and recovery are intermediary phases.



Expansion: The line of cycle that moves above the steady growth line represents the expansion phase of a business cycle. In the expansion phase, there is an increase in various economic factors, such as production, employment, output, wages, profits, demand and supply of products, and sales. In addition, in the expansion phase, the prices of factor of production and output increases simultaneously. In this phase, debtors are generally in good financial condition to repay their debts; therefore, creditors lend money at higher interest rates. This leads to an increase in the flow of money. In expansion phase, due to increase in investment opportunities, idle funds of organizations or individuals are utilized for various investment purposes. Therefore, in such a case, the cash inflow and outflow of businesses are equal. This expansion continues till the economic conditions are favourable.

Peak: The growth in the expansion phase eventually slows down and reaches to its peak. This phase is known as peak phase. In other words, peak phase refers to the phase in which the increase in growth rate of business cycle achieves its maximum limit. In peak phase, the economic factors, such as production, profit, sales, and employment, are higher, but do not increase further. In peak phase, there is a gradual decrease in the demand of various products due to increase in the prices of input. The increase in the prices of input leads to an increase in the prices of final products, while the income of individuals remains constant. This also leads consumers to restructure their monthly budget. As a result, the demand for products, such as jewellery, homes, automobiles, refrigerators and other durables, starts falling.

As discussed earlier, in peak phase, there is a gradual decrease in the demand of various products due to increase in the prices of input. When the decline in the demand of products becomes rapid and steady, the recession phase takes place.

Recession: In recession phase, all the economic factors, such as production, prices, saving and investment, starts decreasing. Generally, producers are unaware of decrease in the demand of products and they continue to produce goods and services. In such a case, the supply of products exceeds the demand. Over the time, producers realize the surplus of supply when the cost of manufacturing of a product is more than profit generated. This condition firstly experienced by few industries and slowly spread to all industries. This situation is firstly considered as a small fluctuation in the market, but as the problem exists for a longer duration, producers start noticing it. Consequently, producers avoid any type of further investment in factor of production, such as labor, machinery, and furniture. This leads to the reduction in the prices of factor, which results in the decline of demand of inputs as well as output.

Trough: During the trough phase, the economic activities of a country decline below the normal level. In this phase, the growth rate of an economy becomes negative. In addition, in trough phase, there is a rapid decline in national income and expenditure. In this phase, it becomes difficult for debtors to pay off their debts. As a result, the rate of interest decreases; therefore, banks do not prefer to lend money. Consequently, banks face the situation of increase in their cash balances. Apart from this, the level of economic output of a country becomes low and unemployment becomes high. In addition, in trough phase, investors do not invest in stock markets. In trough phase, many weak organizations leave industries or rather dissolve. At this point, an economy reaches to the lowest level of shrinking.

Recovery: As discussed above, in trough phase, an economy reaches to the lowest level of shrinking. This lowest level is the limit to which an economy shrinks. Once the economy touches the lowest level, it happens to be the end of negativism and beginning of positivism. This leads to reversal of the process of business cycle. As a result, individuals and organizations start developing a positive attitude toward the various economic factors, such as investment, employment, and production. This process of reversal starts from the labor market. Consequently, organizations discontinue laying off individuals and start hiring but in limited number.

At this stage, wages provided by organizations to individuals is less as compared to their skills and abilities. This marks the beginning of the recovery phase. In recovery phase, consumers increase their rate of consumption, as they assume that there would be no further reduction in the prices of products. As a result, the demand for consumer products increases. In addition in recovery phase, bankers start utilizing their accumulated cash balances by declining the lending rate and increasing investment in various securities and bonds. Similarly, adopting a positive approach other private investors also start investing in the stock market. As a result, security prices increase and rate of interest decreases. Price mechanism plays a very important role in the recovery phase of economy.

As discussed earlier, during recession the rate at which the price of factor of production falls is greater than the rate of reduction in the prices of final products. Therefore producers are always able to earn a certain amount of profit, which increases at trough stage. The increase in profit also continues in the recovery phase. Apart from this, in recovery phase, some of the depreciated capital goods are replaced by producers and some are

maintained by them. As a result, investment and employment by organizations increases. As this process gains momentum an economy again enters into the phase of expansion. Thus, a business cycle gets completed.

Macroeconomic policies

The government plays a major role in the macro economy, so a useful way of learning how the macro economy works is to consider how the government uses policy to affect the economy. The two main policies are (1) fiscal policy and (2) monetary policy. Much of the study of macroeconomics is learning how fiscal and monetary policies work.

Fiscal policy refers to the government's decisions about how much to tax and spend. The federal government collects taxes from households and firms and spends those funds on goods and services ranging from missiles to parks to Social Security payments to interstate highways. Taxes take the form of personal income taxes, Social Security taxes, and corporate profits taxes, among others. The aim of fiscal policy is to influence the national income by changing the total demand for goods and services. Total demand consists of consumer expenditure, investment expenditure, government expenditure and net exports ($Y = C + I + G + X - M$). The instruments of fiscal policy are:

- Government expenditure
- Taxes

Expansionary fiscal policy

Expansionary fiscal policy increases production, employment and income and can be used to move the economy out of a slump or recession or it can be used when unemployment is high.

- Decrease taxes (T): A decrease in tax rates will increase consumption (C) because consumers will have more money to spend. Businesses will have a larger part of their profits to spend on capital goods and investment (I) will increase. If consumption (C) and investment (I) increase, aggregate demand will increase.
- Increase government spending (G): The second option is to increase government spending (G). This will increase aggregate demand.

Restrictive (contractionary) fiscal policy

A restrictive fiscal policy decreases production, employment and income. It can be used to combat the problem of inflation.

- Increase taxes: Higher tax rates will decrease the disposable income of consumers and thus decrease consumption (C). Businesses will pay a larger percentage of their profits as tax and will have less money for investment (I). Aggregate demand will decrease.

- **Decrease government spending:** A reduction in government expenditure (G) will also decrease aggregate demand. You should note, however, that it is very difficult, perhaps impossible, for governments to decrease their expenditure.

Objectives of Fiscal Policy

- **Promoting economic growth:** One of the primary objectives of fiscal policy is to promote economic growth by stimulating aggregate demand and investment. This can be achieved by increasing government spending on infrastructure or social programs, or by reducing taxes to increase consumer and business spending.
- **Stabilizing the business cycle:** Another objective of fiscal policy is to stabilize the business cycle by smoothing out fluctuations in economic activity. During periods of recession, the government can use fiscal policy to increase aggregate demand and reduce unemployment, while during periods of economic expansion, the government can use fiscal policy to reduce inflation and prevent overheating of the economy.
- **Redistributing income:** Fiscal policy can also be used to redistribute income by increasing government spending on social welfare programs or implementing progressive taxation policies. This can help to reduce income inequality and promote social welfare.
- **Ensuring fiscal sustainability:** Finally, fiscal policy can be used to ensure fiscal sustainability by balancing the government budget and reducing public debt. This can help to prevent fiscal crises and maintain long-term economic stability.

Monetary Policy

In Namibia the monetary policy is controlled by the Bank of Namibia (BON), the nation's central bank, it determines the quantity of money in the economy, which in turn affects interest rates. The BON decisions have important effects on the economy. In fact, the task of trying to smooth out business cycles in Namibia is generally left to the central bank (that is, to monetary policy). Monetary policy can be defined as the measures taken by the monetary authorities (central bank) to influence the money supply or the rate of interest to achieve stable prices, full employment and economic growth. Just like fiscal policy, Monetary policy can be restrictive or expansionary.

- **Restrictive (contractionary) monetary policy:** These measures are used to combat inflation and will be aimed at decreasing the money supply. It tends to raise interest rates and reduce income.
- **Expansionary monetary policy:** These measures are used to stimulate the economy during a slump or recession and high unemployment and will be aimed at increasing the money supply. It tends to reduce interest rates and increase income.

The instruments of monetary policy

A monetary policy instrument is a tool that central banks use to achieve their operational targets. They can be divided into **indirect measures and direct measures**.

Indirect Measures

- The Repo rate: is the interest rate at which commercial banks borrow money from the Bank of Namibia. Changes in the Repo rate affect all other interest rates in the economy. Banks borrow from the central bank when their reserves are low or if they need more money to give loans. This is where the Bank of Namibia functions as 'lender of last resort'.

Restrictive (contractionary) policy: The Bank of Namibia will increase the Repo rate.

Commercial banks will increase their prime lending rates and the cost of borrowing will increase.

Persons who already have loans will pay more interest on these loans and will have less money to spend. The private sector will borrow less at higher interest rates, i.e. less money will be created. The supply of money will decrease.

Expansionary policy: The BoN will decrease the Repo rate. Commercial banks will decrease their prime lending rate and the cost of borrowing will decrease.

Existing loans will become cheaper and leave borrowers with more money for spending.

The private sector will borrow more and more money will be created.

The supply of money will increase.

- The reserve requirement: is the percentage of a bank's deposits that must be kept at the central bank. The aim of the reserve requirement is to limit the ability of banks to create money and to protect depositors. The reserve requirement determines the value of the credit multiplier and changes in the reserve requirement will change the value of the multiplier. Suppose the reserve requirement is 10%. The value of the multiplier will then be 10 ($1/0.10$). A N\$1 000 deposit can be increased to N\$10 000 ($10 \times \text{N\$1 000} = \text{N\$10 000}$).

Restrictive policy: The Bank of Namibia will increase the reserve requirement. The value of the multiplier will decrease and less money can be created.

The supply of money will decrease.

Expansionary policy: The BoN will reduce the reserve requirement. The value of the multiplier will increase and more money can be created.

The supply of money will increase

- Open market operations: refer to a central bank's buying and selling of government securities on the 'open' market to influence the liquidity of banks, the money supply and the interest rate.

Restrictive (contractionary) policy: The BoN will sell government securities on the open market. If a commercial bank buys the securities, the central bank will deduct the selling price from the bank's reserves. This will reduce the bank's reserves and its ability to give loans and create money.

The supply of money will decrease.

To encourage banks to buy, BoN will decrease the price of the securities and this will cause interest rates to increase.

Expansionary policy: BoN will buy government securities on the open market. The reserves of banks will increase and they will be able to give more loans and create money.

The supply of money will increase.

To encourage banks to sell, the BoN will increase the price of the securities and this will lead to lower interest rates.

Direct Measures

- Credit Ceilings: The central bank can restrict the amount of loans that banks may give to the private sector.
- Interest Rate Control: Limits can be placed on both deposit rates and lending rates. If this measure is used, interest rates do not reflect demand and supply conditions in the market.
- Regulating Consumer Credit: This measure refers to credit agreements such as hire purchases. It regulates the term of repayment, the percentage of the purchase price that must be paid as a deposit and the classes of goods that are affected.
- Moral Persuasion: The Bank of Namibia can use discussions, explanation and persuasion to prompt banks and other financial institutions to help achieving monetary policy goals.

Monetary Policy Practice in Namibia

Namibia maintains a fixed exchange rate agreement with South Africa where the Namibian dollar is pegged to the South African rand at a 1:1 ratio. Under a fixed exchange rate regime, the primary goal of a Central Bank is to defend the peg. By defending the peg, the ultimate goals of price stability and growth are attained indirectly.

Namibia does not have a completely independent monetary system but it can control domestic money supply and keep its Repo rate slightly different from South Africa's Repo rate if local economic conditions so demand.

The main instrument is the Repo rate but BoN also uses open market operations. There is no formal operational target, but the BoN monitors the level of official reserves, as the fixed currency peg requires the country to fully back its currency in circulation with international reserves. The Executive Committee (EC) is responsible for the formulation of monetary policy in Namibia and meets every two months to deliberate on monetary policy issues. Its members are the Governor, Deputy-Governor, Assistant-Governor and three staff members based on their expertise.

Monetary Policy versus Fiscal policy

Experience has shown that fiscal policy tends to be more successful to stimulate the economy when unemployment is a problem while monetary policy has been more effective to cool down an overheated economy and curb inflation.

Reference

Retrieved from: <http://www.economicdiscussion.net/business-cycles/5-phases-of-a-business-cycle-with-diagram/4121>

Mankiw, N. Gregory. (2011). Essentials of Economics. 6th Ed. Pearson Publishers

Mankiw, N. Gregory. (2009). Principles of Macroeconomics. South-Western Cengage Learning, Mason OH